

RISKY / RED-FLAG CLAUSE REFERENCE LIST

Use this as ground-truth reference when evaluating your risk-detection module's precision/recall against the sample test contracts. Categorized by contract type.

GENERAL / ALL CONTRACTS

Clause Pattern	Why It's Risky	Typical Severity
One-sided termination rights	One party can terminate anytime without notice/cause, while the other party faces a long notice period or penalty.	High
Unlimited liability	No cap on liability for one party, exposing them to disproportionate financial risk.	High
Auto-renewal without clear notice	Contract renews automatically unless the party actively opts out within a narrow, easy-to-miss window.	Medium
Unilateral amendment rights	One party can change terms (price, scope, obligations) at their sole discretion without the other's consent.	High
Broad indemnification with no cap	One party must indemnify the other for a wide range of losses with no financial ceiling.	High
Vague dispute resolution / no governing law	Contract does not specify jurisdiction, governing law, or dispute resolution mechanism, creating ambiguity in case of conflict.	Medium
Missing confidentiality clause	No provision protecting sensitive information shared between parties.	Medium

EMPLOYMENT CONTRACTS

Clause Pattern	Why It's Risky	Typical Severity
Excessive/unlimited working hours	No cap on daily/weekly working hours with no additional compensation for overtime.	High
Overly broad non-compete	Non-compete extending beyond reasonable time/geography (e.g., 3+ years, entire country), often unenforceable but still risky if included.	High
Arbitrary salary deductions	Employer can deduct pay for losses/damages without due process or proof of fault.	High
Asymmetric notice period	Employer requires no notice to terminate, but employee must give a long notice period or forfeit pay.	Medium
Indefinite confidentiality with no carve-outs	Confidentiality obligation with no time limit and no exclusion for publicly available information.	Medium

RENTAL / LEASE AGREEMENTS

Clause Pattern	Why It's Risky	Typical Severity
Missing security deposit refund terms	No clarity on conditions/timeline for deposit refund or permissible deductions.	Medium

No termination/notice clause	Agreement does not specify how either party can end the tenancy or the required notice period.	High
No maintenance responsibility split	Unclear who pays for repairs — landlord (structural) vs tenant (day-to-day) responsibilities not defined.	Medium
Missing inspection rights clause	No provision for landlord's right to inspect property (or its limits), leading to potential disputes.	Low
No subletting restriction	Silent on whether tenant can sublet, which can create legal ambiguity.	Low

SERVICE / VENDOR AGREEMENTS

Clause Pattern	Why It's Risky	Typical Severity
Unclear scope of work	Vague description of deliverables, leading to scope creep and payment disputes.	Medium
Payment terms favoring one party heavily	E.g., 100% advance with no milestone-based payment, or payment only after client's sole discretion of 'satisfaction'.	High
IP ownership not addressed	Contract silent on who owns the work product/deliverables after payment.	High
No limitation of liability clause	Exposes service provider to unlimited claims for indirect/consequential damages.	High

PARTNERSHIP AGREEMENTS

Clause Pattern	Why It's Risky	Typical Severity
Unequal profit/loss sharing not matching capital contribution	Sharing ratio not proportionate to contribution without clear justification, can cause future disputes.	Medium
No exit/dissolution clause	No clear process for a partner's exit, death, or firm dissolution.	High
No dispute resolution mechanism	Silent on how partner disagreements will be resolved.	Medium

How to Use This List

1. Use as a rule-based starting point: search uploaded contracts for language patterns matching these categories. 2. Use as manual labeling ground-truth: when testing your model on the Sample Test Contracts, mark which of these clause-types are actually present, then compare against your model's output to calculate precision/recall. 3. Extend this list over time as you encounter new patterns during testing.